
Entrepreneurship Mid-Term Practice Exam

Week 1: Entrepreneurial Mindset

1. A large bank, "HBC Bank," encourages its employees to develop new financial products and gives them a budget to test these ideas. An employee who does this is acting as an:
 - a) Entrepreneur
 - b) Intrapreneur
 - c) Investor
 - d) Manager
2. The brand Surf Excel ran a famous campaign "Daag achhe hain" (Stains are good). This approach doesn't sell a detergent; it sells a solution to the "fear of stains," which is a:
 - a) Functional Pain Point
 - b) Emotional Pain Point
 - c) Financial Pain Point
 - d) Productivity Pain Point
3. A student struggles to find an electrician for a small repair. He decides to create an app that connects homeowners with verified local electricians. The first step of the entrepreneurial process he has just completed is:
 - a) Develop a business idea
 - b) Secure funding & resources
 - c) Identify a problem/opportunity
 - d) Create a business model
4. Head & Shoulders shampoo primarily markets itself as a solution to dandruff, which can make people feel insecure in social settings. This product directly targets which type of pain point?
 - a) Functional (Cleanliness)
 - b) Emotional (Insecurity)
 - c) Financial (Affordability)
 - d) Basic Survival (Hygiene)
5. Which of the following is the science of creating an emotional image and lasting loyalty in the customer's mind?
 - a) Marketing
 - b) Advertisement
 - c) Branding
 - d) Entrepreneurship
6. A new company, "QuickNote," launches an AI-powered app that summarizes long lectures into short notes, saving students hours of work. This app is primarily solving a:

- a) Productivity Pain Point
- b) Emotional Pain Point
- c) Financial Pain Point
- d) Functional Pain Point

Week 2: Knowing Your Customers (STP & Differentiation)

- 7. A company segments the market into "urban, high-income individuals aged 25-40 who value technology." This segmentation base is:
 - a) Purely Demographic
 - b) Purely Geographic
 - c) A mix of Geographic, Demographic, and Psychographic
 - d) Purely Behavioral
- 8. A brand decides to target a very small, specific audience: "Left-handed professional guitarists." This is an example of which targeting strategy?
 - a) Mass Marketing (Undifferentiated)
 - b) Niche Marketing
 - c) Segmented Marketing (Differentiated)
 - d) Micromarketing
- 9. When a consumer thinks of "luxury Swiss watches," they immediately think of Rolex. This immediate mental connection is the definition of:
 - a) Segmentation
 - b) Differentiation
 - c) Positioning
 - d) Targeting
- 10. A restaurant gains a reputation for its incredibly fast and friendly customer service, even though its food is similar to competitors. This is a clear example of:
 - a) Product Differentiation
 - b) Service Differentiation
 - c) Channel Differentiation
 - d) Image Differentiation
- 11. A whiteboard note from the lecture defined a key concept as "Pain Point or solution which no other Brand is Targeting." This is the definition of:
 - a) Positioning
 - b) Targeting
 - c) Segmentation
 - d) Differentiation
- 12. A car company sells SUVs, sports cars, and small city-commuter cars, each with a different marketing campaign. This company is using:
 - a) Segmented (Differentiated) Marketing

- b) Mass (Undifferentiated) Marketing
- c) Niche Marketing
- d) Micromarketing

Week 3: The Big Idea (VPC & Strategy)

13. In the Value Proposition Canvas (VPC), the "Customer Pains" section is designed to be directly addressed by which section of the "Value Proposition" square?
 - a) Gain Creators
 - b) Pain Relievers
 - c) Products & Services
 - d) Customer Jobs
14. A customer is trying to "file their annual taxes." According to the Value Proposition Canvas, this task is a:
 - a) Customer Gain
 - b) Customer Pain
 - c) Customer Job
 - d) Pain Reliever
15. According to Maslow's Hierarchy, a luxury brand like Gucci or a high-end car like a Mercedes primarily appeals to which need?
 - a) Physiological Needs
 - b) Safety Needs
 - c) Love and Belonging Needs
 - d) Esteem Needs
16. Starbucks' strategy of creating a "third space" (not home, not work) is the answer to which key customer question?
 - a) WHY does the customer value?
 - b) WHAT does the customer value?
 - c) HOW does the customer value?
 - d) WHEN does the customer value?
17. The Starbucks "Strategic Inauthenticity" case study describes their appeal to the "Outer Circle" (the masses) by:
 - a) Offering the purest, most authentic Italian espresso.
 - b) Adding sugar (e.g., Frappuccinos) and using Italian-sounding names for sizes.
 - c) Focusing only on the "Inner Circle" of coffee experts.
 - d) Creating the "Third Space" concept.
18. A creative advertising solution, as defined in the lecture, must be New, Feasible, and:
 - a) Useful
 - b) Expensive
 - c) Disruptive

d) Emotional

Week 4: Marketing Your Venture (Mix & Ocean)

19. A company launches a new high-tech smartphone at a very high price. Six months later, they drop the price significantly. This is a classic example of:
 - a) Penetration Pricing
 - b) Price Skimming
 - c) Psychological Pricing
 - d) Cost-Plus Pricing
20. A supermarket prices its milk at "Rs. 199" instead of "Rs. 200." This is an example of:
 - a) Penetration Pricing
 - b) Price Skimming
 - c) Psychological Pricing
 - d) Bundle Pricing
21. In the 4Ps of the Marketing Mix, the "warranty" and "after-sale service" for a laptop are part of the:
 - a) Core Product
 - b) Actual Product
 - c) Augmented Product
 - d) Promotion Strategy
22. A company competing in a "Red Ocean" strategy is most likely:
 - a) Creating a brand new market.
 - b) Making the competition irrelevant.
 - c) Trying to beat competitors in an existing, crowded market.
 - d) Pursuing both differentiation and low cost simultaneously.
23. The "cornerstone" of Blue Ocean Strategy, defined as the simultaneous pursuit of differentiation AND low cost, is called:
 - a) Value Innovation
 - b) The ERRC Grid
 - c) The Six Paths Framework
 - d) Strategic Group Analysis
24. The ERRC Grid (Eliminate-Reduce-Raise-Create) is a framework used to:
 - a) Create a new value curve for a Blue Ocean.
 - b) Set the 4Ps of the marketing mix.
 - c) Define a brand's persona.
 - d) Calculate Return on Ad Spend (ROAS).
25. In the "Six Paths Framework," Zameen.com was used as an example of Path 6 (Look Across Time) because it:
 - a) Merged technology with transportation.

- b) Leveraged the external trend of digitalization.
- c) Shifted from a functional to an emotional appeal.
- d) Made high-end real estate accessible to all.

Week 5: Advertising Your Venture (Models)

26. An entrepreneur is pitching their brand to investors. Which advertising model provides a structured way to present the brand, save time/money, and ensure message consistency?
 - a) The use of any advertising model.
 - b) The AIDA model only.
 - c) The FCB model only.
 - d) The Facets Model only.
27. A new food delivery app places a billboard on a busy highway. According to the AIDA model, what is the primary goal of this billboard?
 - a) Attention
 - b) Interest
 - c) Desire
 - d) Action
28. An advertisement for a luxury Rolex watch (a high-involvement, feeling-based purchase) should follow which FCB model sequence?
 - a) Learn $\rightarrow$ Feel $\rightarrow$ Do (Informative)
 - b) Feel $\rightarrow$ Learn $\rightarrow$ Do (Affective)
 - c) Do $\rightarrow$ Learn $\rightarrow$ Feel (Habitual)
 - d) Do $\rightarrow$ Feel $\rightarrow$ Learn (Satisfaction)
29. You buy the same brand of milk (a low-involvement, thinking-based purchase) every week without much thought. The FCB sequence for this is:
 - a) Learn $\rightarrow$ Feel $\rightarrow$ Do (Informative)
 - b) Feel $\rightarrow$ Learn $\rightarrow$ Do (Affective)
 - c) Do $\rightarrow$ Learn $\rightarrow$ Feel (Habitual)
 - d) Do $\rightarrow$ Feel $\rightarrow$ Learn (Satisfaction)
30. A late-night TV ad says, "Call now in the next 10 minutes to get a 50% discount!" This is a clear example of what type of advertisement?
 - a) Brand Advertising
 - b) Institutional Advertising
 - c) Direct-Response Advertising
 - d) Public Service Advertising (PSA)
31. An ad by UCP (the university) that promotes the institution's overall reputation for research and excellence, rather than a specific degree program, is an example of:
 - a) Retail Advertising

- b) Institutional Advertising
 - c) B2B Advertising
 - d) Direct-Response Advertising
32. According to the Facets Model, an ad that uses a catchy song to make you feel happy is focusing on which two facets?
- a) Perception (Hear) and Emotion (Feel)
 - b) Cognition (Understand) and Persuasion (Believe)
 - c) Association (Connect) and Behavior (Act)
 - d) Perception (See) and Cognition (Think)
33. In the 4-stage Advertising Phases, the stage where the "big idea" or ad concept is developed is the:
- a) Briefing Stage
 - b) Creation Stage
 - c) Production Stage
 - d) Post-Production Stage

Week 6: Social Media Marketing (Meta)

34. An entrepreneur is setting up their first Meta ad campaign. At the Campaign Level, what is the only thing they should set?
- a) The Budget
 - b) The Target Audience
 - c) The Ad Objective (e.g., "Conversions")
 - d) The Ad Creative (Image/Video)
35. You want to show your ads only to people who live in Lahore, are aged 18-25, and are interested in "Fashion." At which level of the Meta Ad Structure would you set this?
- a) Campaign Level
 - b) Ad Set Level
 - c) Ad Level
 - d) Account Level
36. An ad campaign's main goal is to get people to click a link and visit the company's website. The correct Ad Objective to choose would be:
- a) Brand Awareness
 - b) Engagement
 - c) Traffic
 - d) Conversions
37. A company's ad is shown on Facebook, Instagram Stories, and also on a third-party mobile game. Running ads on other apps and websites is possible through the:
- a) Facebook Feed
 - b) Instagram Explore

- c) Messenger Inbox
 - d) Audience Network
38. Your ad creative (the image) is getting a very high CTR (Click-Through Rate), but your Conversion Rate (CVR) is very low. What is the most likely problem?
- a) The ad creative is bad and irrelevant.
 - b) The landing page is bad, or the offer is not compelling.
 - c) The ad budget is too low.
 - d) The target audience is wrong.
39. A successful ad set is getting a 3x ROAS. The marketing manager decides to "gradually increase the budget by 20% every few days" on this same ad set. This strategy is called:
- a) Vertical Scaling
 - b) Horizontal Scaling
 - c) Audience Testing
 - d) Ad Creative Testing
40. An ad's "Total Value" in the Meta auction is based on Advertiser Bid, Ad Quality, and:
- a) Estimated Action Rates
 - b) Daily Budget
 - c) Campaign Objective
 - d) Click-Through Rate (CTR)

Week 7: Branding Your Venture

41. According to the lecture, Nike's brand is not its "swoosh" logo but the emotional message of "empowerment" behind "Just Do It." This "complete story" is the definition of:
- a) A Brand
 - b) Branding
 - c) A Logo
 - d) An Advertisement
42. In the "Truffelle" case study, "Amara" is the warm, creative, 22-year-old chocolatier who embodies the brand's personality. "Amara" is the brand's:
- a) Brand Persona
 - b) Target Audience
 - c) Slogan
 - d) Brand Element
43. The "Truffelle" brand also used a mascot named "ChocoBuddy" to appeal to children. This mascot is a form of:
- a) Brand Persona
 - b) Brand Avatar
 - c) Brand Story
 - d) Brand Mission

44. A brand's origin story, its mission, and its core values (like Truffelle's "Family and Togetherness") are all key components of its:
- a) Brand Persona
 - b) Brand Storytelling
 - c) Color Palette
 - d) Brand Avatar
45. An entrepreneur is designing a logo for a new meditation app. They choose soft blues and greens. According to the lecture, this choice is part of "Branding & Psychology" because the entrepreneur is:
- a) Choosing the cheapest colors to produce.
 - b) Answering "What emotion or memory should my brand trigger?"
 - c) Copying the main competitor's logo.
 - d) Finalizing the brand's supply chain.

Week 8: Designing Your Venture's Supply Chain

46. According to the lecture, a Merchandise Plan is a comprehensive strategy for managing inventory. Which of the following is NOT one of its 6 components?
- a) Forecasts
 - b) Assortment
 - c) Timing
 - d) Advertising Model
47. A large supermarket chain has its suppliers (e.g., milk, bread) ship products directly to its 50 individual stores, bypassing a central warehouse. This is the:
- a) Warehouse Hub Model
 - b) Direct-to-Store Model
 - c) Single-Unit Retailer Model
 - d) Channel Allocation Model
48. A clothing brand must balance the inventory available on its website, in its physical stores, and on its mobile app. These different ways a customer can buy are called:
- a) Channels
 - b) Hubs
 - c) Allocations
 - d) Forecasts
49. According to the "Flow of Merchandise Planning," what is the first step in the 3-step process?
- a) Forecasting (How much?)
 - b) Innovativeness (What?)
 - c) Timing (When?)
 - d) Allocation (Where?)

50. The lecture notes state that "Great products fail if launched at the wrong time." This emphasizes the critical importance of which component in the merchandise planning flow?
- a) Innovativeness
 - b) Forecasting
 - c) Timing
 - d) Allocation

End of Exam